

MGTF 407: Valuation in Corporate Finance

WINTER 2026

Thursdays, 11am-1:50pm (section 999034) or **2pm-4:50pm** (section 999035)
Wells Fargo Hall 4N128

INSTRUCTOR: **William Mullins** (wmullins@ucsd.edu)
TEACHING ASSISTANT:
EXAM for both sections: **11:30am-2:30pm on Thursday March 19th in OTRSN 1E106 & 1E107**

DESCRIPTION

Estimating the financial value of a project or asset is an essential part of the investment decision process. This course focuses on valuing assets - from an entire firm to a single business project – and understanding the drivers of that value.

We will cover the main valuation approaches in use today, and provide extensive practice via case studies, as well as discussing the underlying conceptual and practical issues in lectures. The course has the secondary goal of deepening your knowledge of other important areas of corporate finance, such as capital structure, and will equip you with skills and knowledge that every finance practitioner should have.

Prerequisites: Master of Finance Core courses or MGT 408 (Finance Core)

OBJECTIVES

By the end of the course students should be able to:

- Calculate valuation-appropriate cash flows
- Calculate an appropriate discount rate for the cash flows, considering risk characteristics and firm/project capital structure
- Understand how growth and terminal value assumptions, and capital structure decisions affect valuation
- Choose the appropriate valuation model for each specific firm or project (including the WACC and APV approaches, multiples, and real option valuation)
- Understand the drivers and the uncertainty of the estimated value
- Communicate the above clearly and succinctly

MATERIALS

1. A course pack with cases + anything I post on the class website
2. **[Optional]** Aswath Damodaran, “Investment Valuation”, 3rd edition, John Wiley & Sons, Inc, Hoboken, New Jersey, 2012.

GRADING:

Your course grade will be based on the following deliverables:

<i>Assignments</i>	<i>Percentage of Final Grade</i>
Case Reports (Group) (1 of 6 cases may be skipped)	20%
Case presentations (Group)	30%
Real-world valuation case report (Group)	5%
Participation (Individual) – peer evaluation and in class	5%
Final Exam (Individual)	40%

Case reports (x6): This should have a maximum length of 3 pages of text with an additional 3 pages of exhibits (for a maximum of 6 pages). The case report should use reasonable fonts and margins. Senior management is the intended audience. Finally, it is not necessary to summarize the case situation in the report. ***Each team may choose to “skip” a case report for 1 case***, although team members must still read the case and participate actively in class discussion. Teams that provide 6 case reports will have their lowest case grade dropped – but I strongly recommend that you do all of the cases.

Real-world valuation case report (x1): for this task you will value a firm without a case to help you. Prepare a report in the same style as the case reports. The firm will be announced early in the quarter. You cannot skip this report. This is group/team work.

Case presentation (x2): these require your team to prepare approximately 10 slides on the case for a 15 minute presentation (not counting question time). Do not summarize the case facts: I may ask one or two random students in groups that are not presenting to summarize the case situation. ***Each group will present twice in the semester (subject to class size considerations), once in class and once out of class (to one of the TAs).*** Note that the evaluation of this is necessarily subjective, and both I and the TAs will be evaluating both content and presentation effectiveness.

Class and Group Participation: You should prepare for class, and constructively participate in class discussions and in working through assignments in your groups. I will “cold call” in class, and your responses will affect your class participation grade. Also, ***peer evaluations conducted at the end of the quarter will significantly determine your participation grade.***

The course moves very quickly. Here are some suggestions that may be useful:

- **During class:** Ask questions. If there is something that you do not understand during class - either the specifics of an example, or terminology that you have not heard before - please stop me and ask. This will help your classmates understand the material more thoroughly – there are no “bad questions!”
- **After class:** Review the course handouts and supplement with the textbook. The readings in the book can deepen understanding and provide context for the material. Reading the book and working through the problems are a great way of mastering a specific topic or concept you may be struggling with.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, **without unauthorized aid of any kind**.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

Note that reading and/ or making use of other people's "case solutions," both those found on the internet or obtained elsewhere, is not allowed.

Note that LLMs still perform poorly on cases because they are trained on students' case solutions! You can use them to improve the quality of the writing, but you are 100% responsible for the analysis, and should not use LLMs for that.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

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Approximate Schedule (subject to modifications over the course of the semester)

Week	Notes	Topics	Optional Readings	Deliverables
1		Introduction DCF basics	* Chapters 1-3	List of team members
2		Case discussion	* Chapter 15	Case1: Airbus
3		Advanced DCF WACC & APV	* Chapter 15 * Chapters 13-14	
4		Case discussion Relative Valuation	* Chapters 17-19	Case2: Valuation of AirThread Connections
5		Case discussion		Case3: Snap after its IPO
6		Case discussion	* Chapter 23	Case4: Facebook IPO
7		Real Options valuation	* Chapters 28-29	Real-world case report CPH.TO
8		Case discussion		Case5: MW Petroleum
9		Case discussion	* Chapter 30	Case6: MEG
10		Finish remaining material + extra topics + Review		

Exam is on Thursday March 19th (week 11)